

UNCUT DIAMONDS



MSMEs will have to rev up big-time for India to fulfil its growth ambitions in the next 25 years

BY RAJAT MISHRA

PHOTO BY **CHANDRADEEP KUMAR**



A STITCH IN TIME The list of challenges for MSMEs of information about appropriate technology, lack of

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CLUSTER OF MICRO, small and medium enterprises (MSMEs) dot the periphery of Yamuna Nagar, a small district in Haryana. In the narrow bylanes of the eponymous town is located Microtech Industries—an electrical panel manufacturer. It is 5 pm. Perched on a chair in a small cubicle, the company's owner, Sachidanand Mishra, makes a pensive point: "Business is not good, but at least it is better than what we have seen in 2020, 2021... All I can say is that we are clawing back to normalcy." Sanjay Kumar, the owner of another MSME unit, Pharmchem, concurs with Mishra: "We managed to sail through the worst phase of life—at least for businesses—but now a glimmer of hope is visible."

The MSME sector comprises nearly 63 million enterprises, which contribute 30 per cent to India's GDP, 45 per cent to manufacturing, 40 per cent to exports, and pro-

vides employment to over 113 million people, per government data. As Mishra and Kumar testify, the sector has put up with several shocks in recent times. Demonetisation came first, followed by GST implementation that took time to settle down, which was then followed by the downturn in the economy, Covid-19 and, most recently, geopolitical tensions such as the Russia-Ukraine war. The biggest hit came from the pandemic. According to government data, more than 5,907 MSME units shut shop during the time. "The sector faced challenges related to fi-